

Methodological Rigor - Three Fatal Flaws

FLAW 1: Wrong Tool for the Job

Altman's Z"-Score designed to predict:

- **Bankruptcy probability** in next 1-2 years
- For **private service firms**
- In **competitive markets**
- Validated on sample with actual failures

Applied to:

- **Public hospitals** where bankruptcy is impossible by design
- **Zero observed failures** in sample
- **Soft budget constraints** with continuous state support

"Although no bankruptcies or closures of these entities have been reported to date" (p. 2)

 **Result: No validation criterion**

Can't test if model works because outcome never occurs

